

Every start-up business is a “what,” not a “why” undertaking. You know what works only by eliminating what doesn’t. Of course, you try to draw general rather than specific lessons from each failure. But you are never too sure how much you can generalize.

Because you never know for sure why you failed. You have to guess at it and test it. Each test costs you time and money. Each one should bring you closer to what does work—and closer to your goal of accumulating real family wealth.

This is also why another rule is handy. We call it the rule of “accelerated failure.” Since you don’t know exactly what will work, and since there are usually quite a few things that won’t between your initial efforts and where you want to end up, the trick is to get to the winning formula as quickly and as cheaply as possible. Time and money are limited. You don’t want them to run out before you’ve come across a sustainable business model. And remember, as long as your business is “alive,” you are still in the game—testing, trying, and failing.

“Accelerated failure” reminds us that we can’t know what will work; we can discover it only by trial and error. It also highlights an important but underrated attribute of the successful entrepreneur: modesty. In investing, as in business, the know-it-all is often disappointed. The person who admits he doesn’t have the answers, however, is more likely to discover them.

You can see why this is. Starting out, you can’t know what will work. In fact, after 35 years in our career, we often feel that we know less and less. For every definite conclusion we can think of a dozen exceptions, caveats, and counterexamples.

The person who thinks he knows the answers without testing, though, is a risk to himself and his business. Because there are only a few formulae that will work. And an infinite number that won’t. So the odds that he has fallen on a good one are small.

The popular idea of the entrepreneur is the man with a “vision” for the business he is creating. But the more cocksure he is, the longer he sticks with it—and the more he invests in it—the less likely it is to work. As the philosopher Mike Tyson put it, “Everybody has a plan, until they get punched in the face.”